

The event of most lasting consequence was OPEC's oil embargo, October 19, 1973 (another lucky October 19!), which helped take the market down 16 percent in three months and 39 percent in twelve months. It's interesting to note that the market did not respond to the significance of the embargo, actually rising 4 points that day and climbing an additional 14 points in the five following sessions before starting its dramatic decline. ***This demonstrates that the market, like individual stocks, can move in the opposite direction of the fundamentals over the short term,*** which, in the case of the embargo, involved rising gasoline prices, long gas lines, escalating inflation, and sharply higher interest rates.

The 1980s has had more days of exceptional gains and losses than were seen in all the other decades combined. In the big picture, most of them are meaningless. I'd rank the 508-point drop in October, 1987, far below the meeting of economic ministers on September 22, 1985, for its importance to long-term investors. It was at this so-called G7 conference that the major industrial nations agreed to coordinate economic policy and to allow the value of the dollar to decline. After that decision was announced, the general market rose 38 percent over six months. It had a more dramatic impact on specific companies that benefited from the lower dollar, and whose stocks doubled and tripled in price in the following two years. As on October 19, 1987, I was in Europe at the time of both the Yom Kippur War and the G7 conference, but at least on those occasions I was out visiting companies instead of losing golf balls.

Trends and gradual changes stick in my mind. The period of conglomeration in the mid to late 1960s resulted in many major companies diworseifying, falling apart, and then not recovering for another fifteen years. Many have never come back, and others, such as Gulf and Western, ITT, and Ogden, have reemerged as turnarounds.

There was a great love affair with high-quality blue chips in the 1970s. These were known as the "nifty fifty" or "the one decision" stocks that you could buy and hold forever. This brief serendipity of overrated and overpriced issues was followed by the devastating market decline of 1973–74 (the Dow hit 1050 in 1973 and had regressed all the way back to 578 in December, 1974) with blue chips falling 50 to 90 percent.

The popular romance with small technology companies in mid-1982 to mid-1983 led to another collapse (60–98 percent) of the similarly beloved issues that could do no wrong. Small may be beautiful, but it's not necessarily profitable.

The rise of the Japanese market from 1966 to 1988 has taken the Nikkei Dow Jones up seventeenfold as our Dow Jones has only doubled. The total market value of all Japanese stocks actually passed that of U.S. stocks in April, 1987, and the gap has widened since. The Japanese have their own way of